

Crestwave — capital and back office for full-time video creators

The Problem

A creator with two million subscribers runs a business with a real cost base — editors, thumbnail designers, a producer — against revenue that arrives sixty days later and moves 40% month to month depending on what the advertising market is doing.

Banks will not lend against it because they cannot underwrite it. So the creator self-finances, which caps output at whatever last month paid for, and the channel grows at the speed of its own cash flow rather than at the speed of its audience.

Our Solution

Crestwave advances capital against future platform revenue and runs the back office that makes the advance underwritable.

We connect to the creator's platform analytics and payout history, model the revenue curve of their existing library — which is the predictable part, because a video published two years ago still earns — and advance against it. Repayment is a fixed share of platform payouts until the advance plus fee is cleared.

Alongside the advance we handle invoicing for brand deals, contractor payments, and the tax filings that most creators at this scale are doing badly or not at all.

The Market

There are roughly 340,000 creators worldwide earning more than \$50,000 a year from video. Their combined platform revenue is estimated at \$21B.

Almost none of them have access to working capital priced anywhere near their actual risk.

Competition

Two companies buy creator catalogues outright, which most creators refuse because it means giving up the library permanently. Revenue-based financing providers serve e-commerce and do not underwrite platform payouts.

We advance rather than acquire, which is the structure creators accept.

The Team

Owen Marsh managed talent at a creator network for four years. Nadia Ferrante worked in structured credit at a specialty lender.

Eleven people. Neither founder has built a company before, and neither has run a credit book through a downturn, which is the experience this business will eventually need.

Traction

- 1,840 creators on the platform
- \$94M advanced cumulatively
- combined audience across our creators of 610 million subscribers

- 2.1 billion monthly views across the portfolio
- default rate of 3.4% on advances written more than twelve months ago
- average advance \$51,000

The audience numbers are the ones people react to, so we will be precise about what they mean: they are the collateral pool, not revenue.

Business Model

We charge a fee of 9% to 14% of the advance, plus \$99 a month for the back office. Average revenue per creator is \$6,100 a year.

Here is the exposure. Roughly 91% of the platform revenue we underwrite comes from a single video platform. We do not have a relationship with that platform, no contractual access to its payout data beyond what the creator shares with us, and no recourse if it changes its revenue share — which it has done three times in eight years, twice downward.

A 15% cut to that revenue share moves our entire book at once. It is not a diversifiable risk within our current portfolio, and diversifying it means creators who earn meaningfully on other platforms, of whom there are far fewer than the market assumes.

Go-To-Market

Creator referrals, which drive 58% of signups, and partnerships with four talent management agencies.

Funding

We are raising \$30M of equity alongside a \$75M credit facility, to expand the book and to begin underwriting creators whose revenue is not concentrated on one platform.